restrictions, it does not purport to limit the applicability of the Equal Protection Clause. Equal protection restraints are applicable even though the *effect* of the discrimination is similar to the type of burden with which the Commerce Clause also would be concerned. Pp. 876–882.

(b) Nor is the encouragement of the investment in Alabama assets and securities a legitimate state purpose. Domestic insurers remain entitled to the more favorable tax rate regardless of whether they invest in Alabama assets. Moreover, since the investment incentive provision does not enable foreign insurers to eliminate the statute's discriminatory effect, it does not cure but reaffirms the impermissible classification based solely on residence. Pp. 882–883.

447 So. 2d 142, reversed and remanded.

POWELL, J., delivered the opinion of the Court, in which BURGER, C. J., and WHITE, BLACKMUN, and STEVENS, JJ., joined. O'CONNOR, J., filed a dissenting opinion, in which BRENNAN, MARSHALL, and REHNQUIST, JJ., joined, *post*, p. 883.

Matthew J. Zinn argued the cause for appellants. With him on the briefs was *Steven Reed.*

Warren B. Lightfoot argued the cause for appellees. With him on the brief for appellee Ward were *E. Mabry Rogers* and *Phillip E. Stano. Robert W. Bradford, Jr.*, and *Harry Cole* filed a brief for appellees American Educators Life Insurance Co. et al.*

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*Briefs of *amici curiae* urging reversal were filed for the State of Connecticut et al. by *Dennis J. Roberts II*, Attorney General of Rhode Island, *Frances X. Bellotti*, Attorney General of Massachusetts, *Gregory H. Smith*, Attorney General of New Hampshire, *Joseph I. Lieberman*, Attorney General of Connecticut, *Elliot F. Gerson*, Deputy Attorney General, and *John G. Haines*, Assistant Attorney General; and for the Life Insurance Council of New York by *Peter J. Flanagan.*

Briefs of *amici curiae* urging affirmance were filed for the State of Alaska et al. by *Anthony Celebrezze, Jr.*, Attorney General of Ohio, and *Connie J. Harris*, Assistant Attorney General, *Dave Frohnmayer*, Attorney General of Oregon, *William F. Gary*, Deputy Attorney General, and *James E. Mountain, Jr.*, Solicitor General, *Jim Mattox*, Attorney General of Texas, and *Henry H. Robinson*, Assistant Attorney General; for the State of Illinois by *Neil F. Hartigan*, Attorney General, and *Patricia Rosen* and *Kathryn A. Spalding*, Assistant Attorneys General; for Allstate Insurance Co. et al. by *Duane C. Quaini;* for the Florida Association of